

FEDERAL MARITIME COMMISSION

MAVL CAPITAL INC., IAM AL
GROUP INC., AND MAXIM
OSTROVSKIY

Complainants,

v.

MARINE TRANSPORT LOGISTICS,
INC., AND DMITRY ALPER,

Respondents.

Docket No. 16-16

Served: December 7, 2017

BY THE COMMISSION: Michael A. KHOURI, *Acting
Chairman*, Rebecca F. DYE, William P. DOYLE, and Daniel B.
MAFFEI, *Commissioners*.

Order Denying Request for Issuance of Subpoena

On October 6, 2017, Complainants requested that the Commission issue a subpoena compelling nonparty Maersk Line to appear for a deposition on written questions. For the reasons set forth below, we deny that request without prejudice.

I. BACKGROUND

This matter arises from the storage and shipment of five vehicles: a Mercedes, a Porsche, and three Harley-Davidson motorcycles. Compl. ¶¶ 27-51. Complainants allege that they engaged Respondent Marine Transport Logistics (MTL) to store and ship the Mercedes and Porsche. *Id.* According to Complainants, without their permission, Respondents converted the vehicles, shipped them to the United Arab Emirates, and may have sold them. *Id.* As for the motorcycles, Complainants allege that they selected another company to store them for shipment overseas, but Respondents directed that company not to ship the vehicles. *Id.* Complainants allege that Respondents have violated 46 U.S.C. §§ 41102(c), 41104(3), and 41104(10).

The Administrative Law Judge (ALJ) ordered Complainants to show cause why the Mercedes and motorcycles claims should not be dismissed. As to the Mercedes claims, the ALJ questioned whether the Commission had subject matter jurisdiction. The parties responded to the order to show cause, and on January 17, 2017, the ALJ dismissed the Mercedes and motorcycles claims with prejudice. The ALJ found that the Commission lacked subject matter jurisdiction over Complainants' Mercedes claims because Complainants did not allege, and there was no evidence of, a contract between the parties for the international ocean carriage of the Mercedes. ALJ I.D. at 14-15.

Complainants filed exceptions to the ALJ's Initial Decision, to which Respondents responded. On March 7, 2017, Complainants petitioned the Commission for leave to supplement the record with certain additional documents. Respondents opposed the petition.

On October 6, 2017, Complainants sent the Commission a proposed subpoena and a letter justifying its issuance. The subpoena requires nonparty Maersk Line to appear for a deposition on written questions on November 30, 2017. Complainants assert that the purpose of the subpoena is to determine the capacity in which Respondent MTL acted regarding the shipment of the Mercedes by

Maersk Line. That is, Complainants seek to discover whether Respondent MTL was acting as a beneficial cargo owner or as a non-vessel-operating common carrier.

II. DISCUSSION

Commission subpoenas are governed by 46 C.F.R. §§ 502.131-502.136. Under 46 C.F.R. § 502.131, the issuance of subpoenas is assigned to the Office of Administrative Law Judges. Complainants' subpoena, however, relates to claims that are currently before the Commission on exceptions. Given this procedural posture, we find that the expeditious conduct of business requires the Commission to address Complainants' subpoena request, and we waive 46 C.F.R. § 502.131 insofar as it is to the contrary. 46 C.F.R. § 502.10.

We further find that Complainants' subpoena is unreasonable and excessive in scope and that Complainants have not shown and cannot show that the scope of the evidence sought is reasonable. 46 C.F.R. § 502.131. The subpoena is unreasonable, and the scope of the evidence sought excessive, because of the procedural posture of this case: the evidentiary record is closed. *See* 46 C.F.R. §§ 502.217, 502.229, 502.230. Once the ALJ issued the initial decision and Complainants filed exceptions, the time for taking discovery and submitting evidence ended. Although the Commission may reopen a proceeding for the purpose of taking new evidence when there has been a material change in fact or law, 46 C.F.R. § 502.230, Complainants have not filed such a petition with respect to the subpoena, and, in any event, we are disinclined to allow Complainants to seek discovery from a nonparty long after the claims at issue were appealed.

In addition, Complainants assert that the "basis for the instant application is *solely* for purposes of assisting the Commission, to the extent necessary, with rendering its decision." Complainants' 10/06/2017 Ltr. at 1. The Commission does not, however, need additional evidence to rule on the exceptions. Allowing Complainants to issue a subpoena now would simply

delay the proceedings further without good cause.

We therefore deny Complainants' request for the issuance of a subpoena. Other than the findings above, which are based on the timing of the subpoena request and the procedural posture of the case, we take no position on the propriety of the subpoena or whether it is substantively excessive in scope. Consequently, the denial of the request for issuance of a subpoena is without prejudice.

Finally, there is no indication that Complainants made Respondents aware of their subpoena communications with the Commission. Although a subpoena may be issued without notice to any other party, 46 C.F.R. § 502.131, Commission regulations otherwise prohibit ex parte communications. 46 C.F.R. § 502.11. Complainants' explanatory letter goes beyond justifying the subpoena request and reiterates arguments on the merits of the exceptions. *See* Complainants' 10/06/2017 Ltr. at 3, par. 5. In so doing, Complainants made ex parte communications prohibited by Commission regulations. As a consequence, in ruling on the exceptions, we will not consider any merits arguments contained in the explanatory letter, and Complainants' subpoena submissions will be made part of the public docket. *See* 46 C.F.R. § 502.11(e), (g).

III. CONCLUSION

Accordingly, the Commission **DENIES** Complainants' request for issuance of a subpoena to Maersk Line and **DIRECTS** the Secretary to make Complainants' subpoena submissions (cover letter, explanatory letter, and subpoena) part of the public docket.

By the Commission.

Rachel E. Dickon
Assistant Secretary